DRIEHAUS
CAPITAL MANAGEMENT

Driehaus Micro Cap Growth Strategy Summary

3RD QUARTER 2026

Market Overview

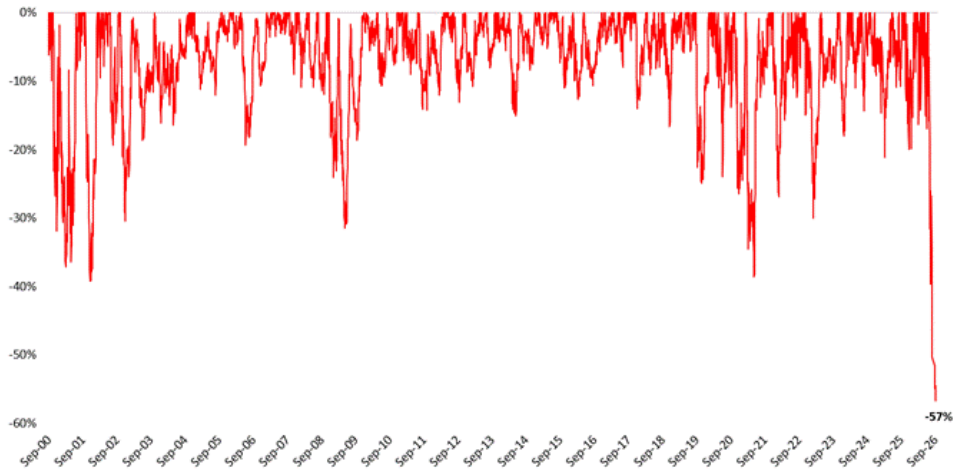
The September quarter was a challenging quarter for small caps and growth as a style. Large caps and value outperformed during the quarter. Economic growth continued to be strong, which helped drive robust earnings growth. Despite record earnings, multiple compression broadly occurred during the quarter as market breadth deteriorated badly and many industries corrected as bond yields rose sharply. Stocks tied to Artificial Intelligence (AI) and data center capex, the market's dominant theme for the past few years, declined sharply during the quarter. This weakness drove underperformance particularly in the technology and industrials sectors. In terms of risk factors, medium term momentum and market sensitivity saw their most severe declines on record in July and August according to a variety of measures. Looking ahead, despite higher interest rates and other macroeconomic headwinds, we believe US economic growth and corporate earnings will remain strong as valuations have pulled back, and we are constructive on the market's near-term outlook.

Sector Rotation and AI Correction

Sharp sector rotation and extreme single stock volatility dominated the market action during the September quarter. Much of the market's leadership from the first half of the year shifted and did not prove sustainable during the recent quarter. Across the smaller cap indices, the strongest sectors during the first half of 2026, industrials and technology, were the weakest sectors during the third quarter. As the first half market leaders performed poorly during the quarter, the weaker sectors (financials and the consumer sectors for example) in the first half performed relatively better than the indices but were still down for the quarter.

After robust performance in the June quarter, stocks tied to the AI theme saw sharp declines in July and August. This weakness was widespread across both the industrial sector and the technology sector. The selloff started out as profit-taking likely due to crowding as too many investors piled into the recent AI leaders, then the selling accelerated throughout July as several concerns grew about the sustainability of the AI capex theme and leveraged market participants faced margin calls. There was concern how open-source Chinese AI models would impact AI spending, ongoing worries about circular financing, debt financing, and rising CDSs (Credit Default Swaps) especially for Oracle and CoreWeave. Then there were additional concerns about declining AI token pricing and potential legislation and community pushback against the proliferation of data centers causing delays in permit approvals. Further there were capex concerns and fear that the growth rates would slow for Meta, OpenAI and Anthropic, among others. As demand for AI compute continues to exceed supply (data center capacity) we believe most of these concerns are noise rather than actual negatives. Importantly, earnings for the hyperscalers and for suppliers across the AI theme have remained very strong as have their guidance and fundamental outlooks. Capex continues to rise and many indicators suggest demand for AI compute continues to exceed supply. Exhibit 1 shows the negative momentum within the tech sector for July and August. It was the worst on record, far worse than post the Nasdaq bubble and other sharp declines since then.

Exhibit 1: Tech Momentum Rolling 60-Day % Drawdown

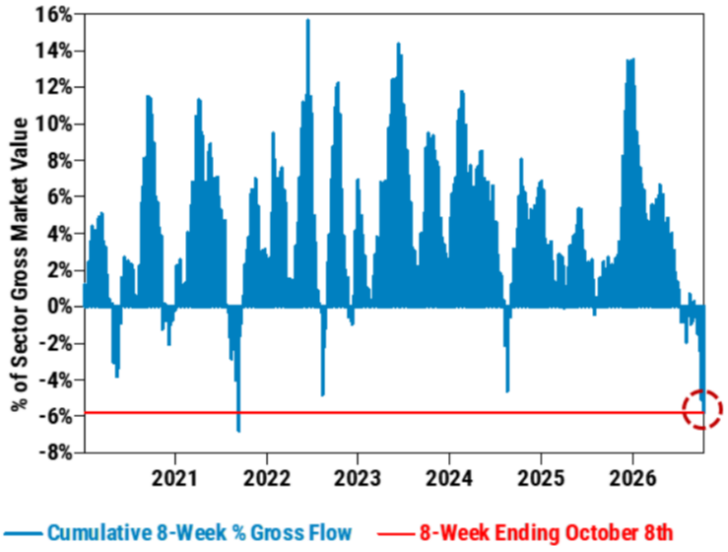


Source: Jefferies

Within the technology sector there was also a severe rotation between semiconductors and software. As semis weakened, software recovered. On a daily basis, semis and software have consistently traded in an inverse fashion this year as software is viewed as a beneficiary of AI worries. This daily rotation between semis and software is among the most extreme in our experience.

Another example of the sharp group rotation occurred within healthcare, specifically within biotech/pharma. Biotech performed well during the AI sell off in July and August. However, late in the quarter, the strength in biotech was unwound as the group sold off sharply. See Exhibit 2 showing the second worst correction in biotech positioning so far this decade.

Exhibit 2: US Biotech (Positive Value = Long Buy and/or Short Sales)



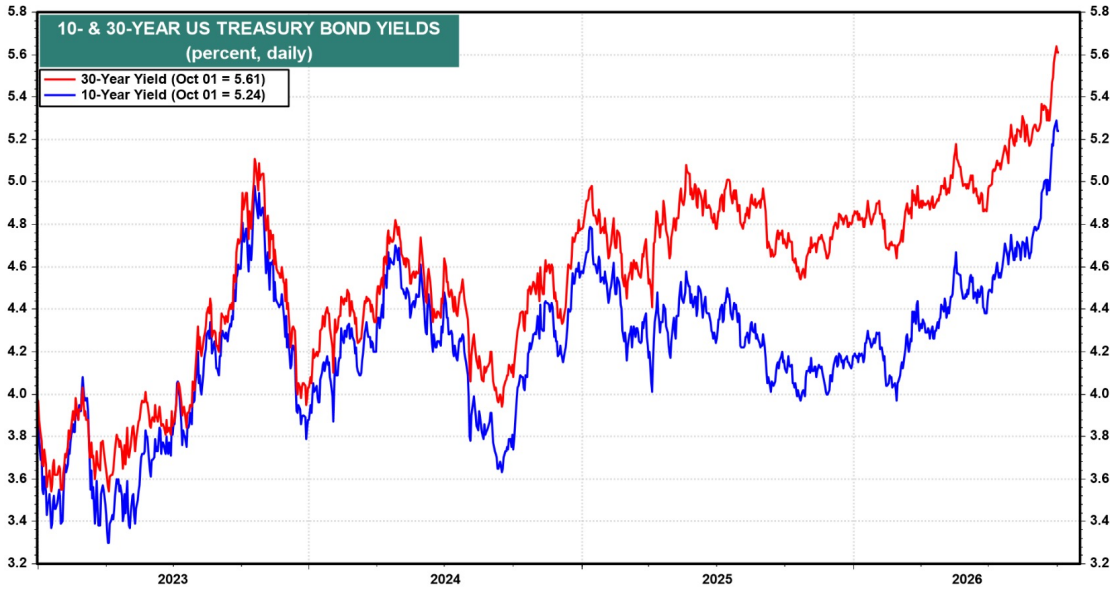
Source: Goldman Sachs

Outside of AI, there is no shortage of market concerns, which is further driving pessimistic investor sentiment. Higher interest rates are at the top of the list of these concerns. Geopolitical issues, namely the two wars (Iran and Ukraine) continue to create uncertainty and volatility in energy and commodity markets. Political division and the US mid-terms are adding further uncertainty. Despite strong consumer spending, near record low consumer sentiment and the K-shaped economy are additional worries. AI is a tremendous driver of economic growth and productivity gains, and it is resulting in the largest capex cycle we have ever seen. However, it is the most disruptive technological change in decades, impacting countless industries and creating labor market anxiety. We will discuss some of these issues below.

Higher Interest Rates

The 10-year and 30-year Treasury bond yields both surged during the September quarter to levels over 5% (see Exhibit 3) and have reached their highest levels since 2002.

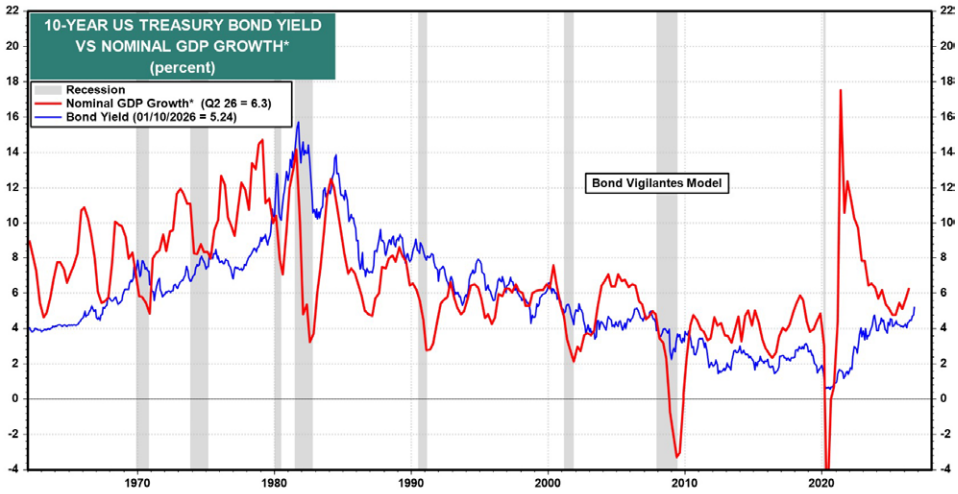
Exhibit 3: 10-year and 30-year Treasury bond yields



Source: LSEG Datastream and Yardeni Research. Bureau of Economic Analysis and Federal Reserve.

A range of factors from benign to troublesome have driven US bond yields higher. On the benign side is strong nominal economic growth and higher demand for financial capital. Nominal US GDP growth is over 6% and continues to remain remarkably resilient. Consumer spending along with strong manufacturing and services as well as robust capex all continue to drive economic growth. Capex is overwhelmingly driven by AI. The five largest US hyperscalers (Amazon, Alphabet, Microsoft, Meta, and Oracle) are on track to spend roughly $800 billion in 2026 and over $1 trillion in 2027. This demand for capital is in part driving interest rates higher. These benign drivers are resulting in higher 'neutral' interest rates. A higher neutral rate suggests the economy can perform just fine when nominal GDP is above the 10-year treasury yield. Exhibit 4 shows this long-term relationship.

Exhibit 4: 10 Year US Treasury Bond Yield vs Nominal GDP Growth



Source: LSEG Datastream and Yardeni Research. Bureau of Economic Analysis and Federal Reserve.
*Yearly percent change

On the more concerning side are three other drivers of higher interest rates. One is inflation remaining stubbornly above the Federal Reserve's target rate of two percent, and as a result a now hawkish Fed monetary policy. Another is the unwind of the Japanese carry trade. This is driving both US and global yields higher. The yen carry trade had helped keep US and global yields low since early last decade. This dynamic was built on ultra-low Japanese interest rates and a weak or stable yen. Investors were able to borrow cheaply in yen and invest the proceeds in higher yielding foreign assets including US, treasuries. As the Bank of Japan (BOJ) has raised its policy rate, the yen has become less stable, Japanese yields have risen and the yen carry trade has been unwinding, contributing to a rise in US and global yields.

An additional driver of interest rates is more worrisome, the larger and larger rise of fiscal budget deficits in the US and also globally. In the US, larger government deficits have been an ongoing concern but given interest rates were so low for so long, debt service has been seen as manageable. However as both the fiscal debt and interest rates rise, so does the level of federal interest expense and in the long run it will crowd other federal spending and make debt service more worrisome which could further push up interest rates.

While each of these reasons are likely pushing up yields, we view the current level of interest rates as manageable given the 10-year yield is still below the rate of nominal GDP. In addition, the economy is increasingly digital and boosted by technology driving productivity and as a result it is less interest rate sensitive than it used to be. At their current pace, both the economy and earnings are currently strong enough to overcome higher interest rates. However, it is also likely that higher interest rates are causing multiple compression in equities. This has been a key cause of the weak breadth and sharp pullback in stocks during the third quarter. Note Exhibit 5 in the cumulative advance/decline within the S&P 500 over the last month of the quarter after it reached a new high in late August. We do believe the multiple compression is likely correlated with the rate of change of interest rates and when rates stabilize so will equities.

Exhibit 5: S&P 500 vs Cumulative A/D Line: 2026



Source: Bespoke Investment Group

Market Outlook

Mid-term Elections

A lot of investors are concerned about the upcoming US elections in November. There is tremendous division between the two primary political parties, and it increasingly feels as though both parties are being pulled towards the extreme views on both the left and the right. It is currently the consensus market view that the Democrats could capture the majority in both the House of Representatives and the Senate in Congress. If that happens, some market participants fear less market friendly policies could be passed regarding taxes, regulation overall and specifically on data centers. However, if the Democrats do win control of Congress their majority will likely be narrow and with the Republicans still controlling the White House, the result could still be divided government or gridlock, which the market generally likes. Historically, the market performs well after the mid-terms. See Exhibit 6 looking at the S&P 500 returns after each of the mid-term elections since 1950. Returns post the election have been positive 100% of the time on a six, nine and twelve-month basis. The returns on a three-month basis have been positive every time except twice. The six-month return has an impressive median return of 15.7%.

Exhibit 6: S&P 500 Returns after each of the mid-term elections since 1950

Midterm Election Date	Same Pres/Congress Party	Held?	Flipped?	SPX 1M Return	SPX 3M Return	SPX 6M Return	SPX 9M Return	SPX 12M Return
Average				1.4%	7.4%	13.8%	15.7%	14.8%
Median				2.3%	7.6%	15.7%	17.5%	14.5%
% Green				74%	89%	100%	100%	100%
Min				-12.0%	-7.8%	1.2%	4.0%	1.1%
Max				7.2%	14.9%	22.6%	32.6%	30.5%
11/3/2026	Y (Republican)							
11/8/2022	Y (Democrat)	N	HOUSE	3.5%	7.6%	8.1%	17.5%	14.5%
11/6/2018	Y (Republican)	N	HOUSE	-2.2%	-0.9%	6.4%	4.6%	11.7%
11/4/2014				3.0%	1.5%	5.1%	4.0%	4.5%
11/2/2010	Y (Democrat)	N	HOUSE	2.3%	9.3%	14.0%	5.1%	3.7%
11/7/2006	Y (Republican)	N	BOTH	1.8%	4.9%	9.2%	6.8%	6.7%
11/5/2002				-1.0%	-7.8%	1.2%	5.5%	14.9%
11/3/1998				3.5%	14.5%	21.9%	19.0%	22.0%
11/8/1994	Y (Democrat)	N	BOTH	-4.3%	3.3%	12.5%	20.3%	27.1%
11/6/1990				5.6%	14.9%	22.0%	25.4%	25.1%
11/4/1986				2.8%	13.6%	17.5%	28.4%	1.1%
11/2/1982				1.0%	4.2%	17.9%	17.8%	19.9%
11/7/1978	Y (Democrat)	Y		3.4%	3.5%	5.5%	12.6%	6.4%
11/5/1974				-12.0%	5.1%	19.9%	14.8%	18.7%
11/3/1970				5.6%	14.7%	22.6%	12.2%	12.7%
11/8/1966	Y (Democrat)	Y		0.8%	7.8%	16.2%	17.6%	12.0%
11/6/1962	Y (Democrat)	Y		7.2%	13.1%	18.4%	19.5%	24.0%
11/4/1958				1.0%	5.8%	10.8%	16.5%	10.1%
11/2/1954	Y (Republican)	N	BOTH	5.4%	12.9%	17.3%	32.6%	30.5%
11/7/1950	Y (Democrat)	Y		-0.8%	12.4%	15.7%	17.7%	15.0%

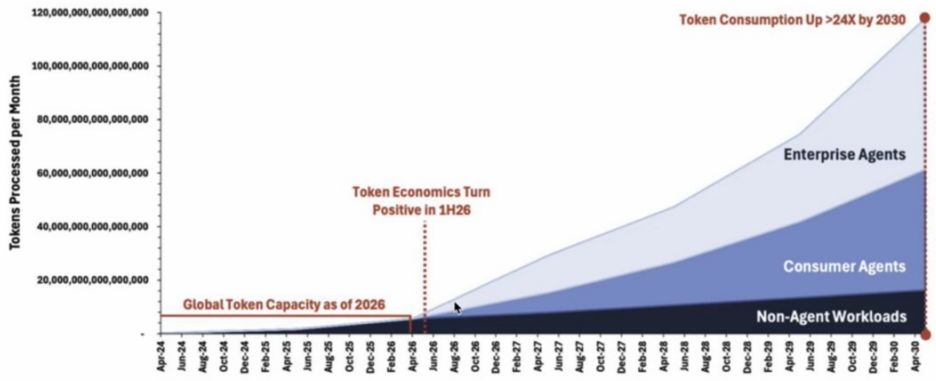
*SPX return data pulled from bloomberg based on closing prices on election day

Source: Cantor Fitzgerald, Bloomberg

AI - Artificial Intelligence

It is important to discuss AI further as it remains the most dominant economic driver and most disruptive trend today. It is broadly boosting productivity, profit margins, and corporate earnings on an aggregate basis. Despite the sell-off during the quarter, we continue to see the fundamental outlooks for many companies within the AI theme as robust and hyperscaler AI data center capex as sustainable. The simple reason for this thesis is that demand for AI compute continues to outpace AI supply (i.e., data center capacity). This is unlike during the dot com bubble, when dark fiber and network capacity was built ahead of internet demand, and the result was excess capacity and a burst spending cycle. In this AI cycle, it is quite different as demand continues to far exceed supply. AI token consumption continues to grow exponentially. AI use cases continue to grow dramatically. An example of this is the recent growth in AI agents. Six months ago, AI agents were nearly unknown. Now both consumer AI agents and enterprise agents are growing exponentially. They work 24/7, do an increasing number of tasks, consume an unprecedented number of AI tokens, and require greater levels of AI compute capacity and infrastructure. Note Exhibit 7 a chart by Goldman Sachs. They estimate that consumer and enterprise AI agents will drive AI tokens processed per month to grow 24x between now and 2030.

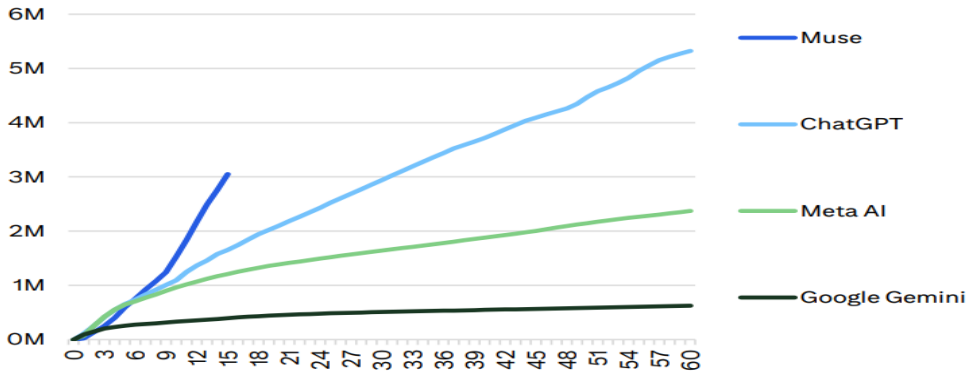
Exhibit 7: Projected Growth in Global AI Token Consumption Through 2030



Source: Goldman Sachs

On the consumer AI agent side, Muse, which was just introduced by Meta during the quarter, is showing faster adoption than even ChatGPT. It is expected that the other hyperscalers and AI labs will soon launch their own new consumer AI agents, driving adoption, innovation and further token and capex demand.

Exhibit 8: Muse U.S. Downloads Post Launch Outpacing Launches from ChatGPT, Gemini, and Meta

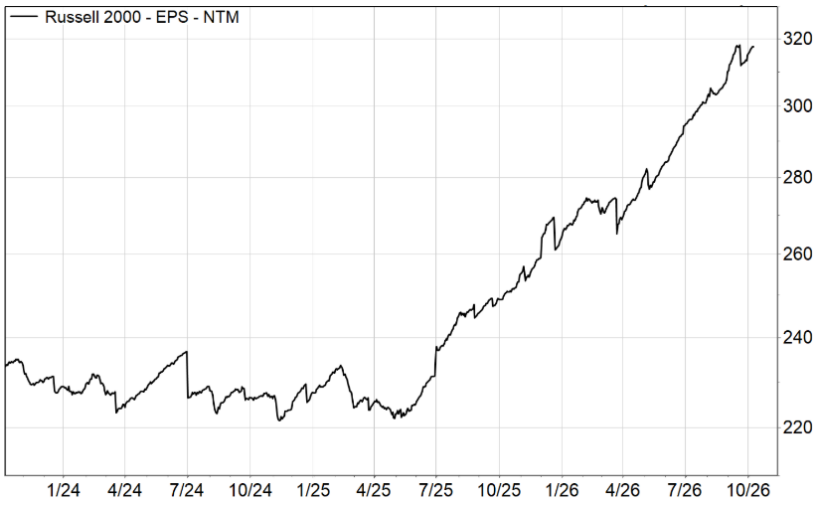


Source: Citi Research, Sensor Tower

Record earnings and modest valuations

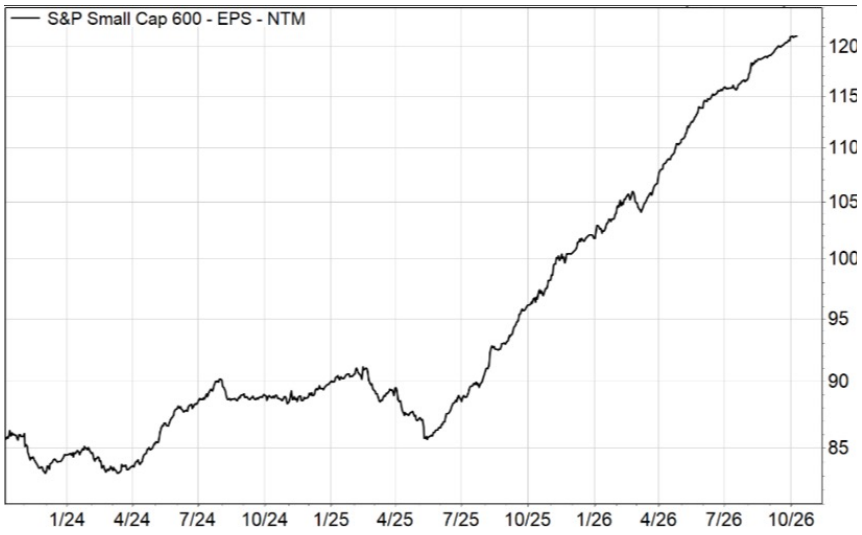
Despite higher interest rates, the absolute weakness in the smaller cap indices and the relative underperformance compared to large caps during the September quarter, the fundamental earnings outlook remains strong. Note Exhibits 9 and 10 for the Russell 2000 and the S&P 600 small cap indices which both demonstrated robust earnings progression throughout the quarter to new all-time highs.

Exhibit 9: Russell 2000 NTM EPS



Source: Factset/DCM

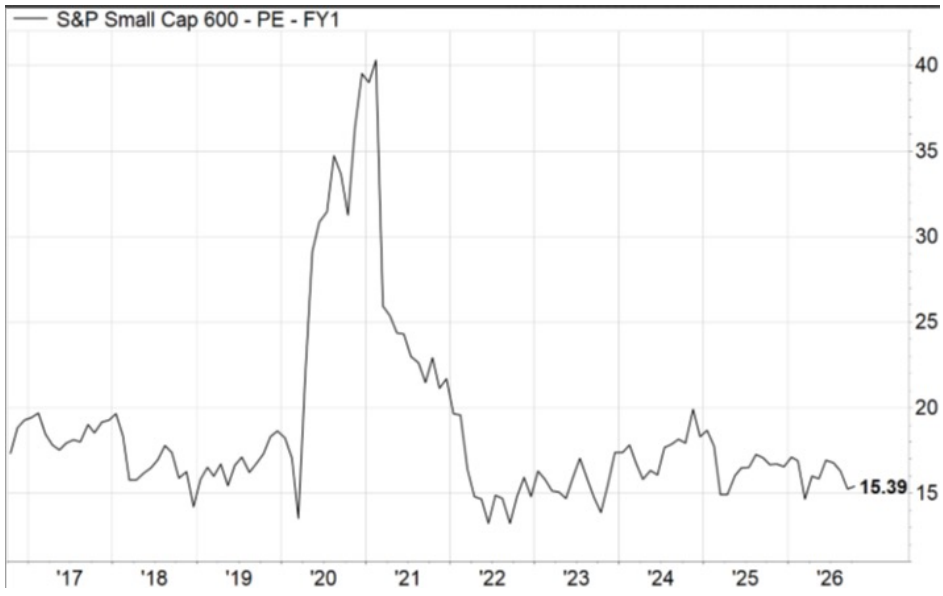
Exhibit 10: S&P Small Cap 600 NTM EPS



Source: Factset/DCM

Despite surging earnings, the small cap indices declined during the quarter as higher interest rates drove multiple compression. As a result, small cap valuations are now towards the bottom end of the range historically.

Exhibit 11: S&P Small Cap 600 PE – FY1



Source: Factset/DCM

Performance Review

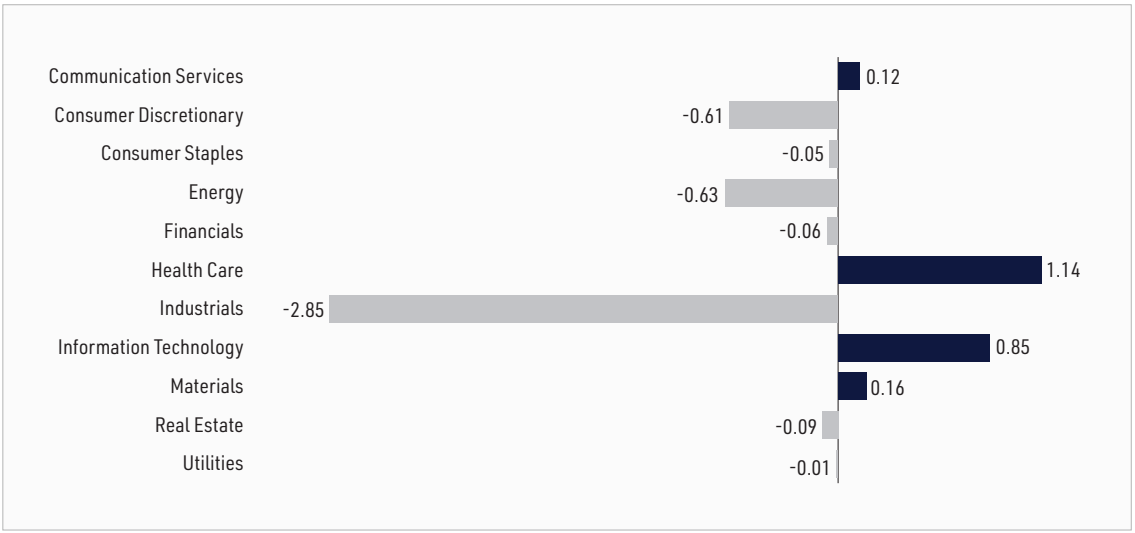
The Driehaus Micro Cap Growth strategy underperformed its benchmark, the Russell Micro Cap Growth Index, by 210 basis points for the third quarter of 2026. The strategy declined 14.25% versus a decline of 12.15% for the benchmark.[1] For comparison, the Russell Microcap Index fell 7.20%, the Russell 2000 Index fell 7.23% and the S&P 500 Index was resilient, gaining 2.3%.

On a year-to-date basis, the Driehaus Micro Cap Growth strategy is outperforming its benchmark, the Russell Micro Cap Growth Index, by 677 bps, with a return of 15.27% vs a return of 8.50% for the benchmark.

Sector Attribution

For the September quarter, the top three contributors on a relative basis were health care, technology and materials while the largest detractors were industrials, energy and consumer discretionary.

Exhibit 12: Sector Attribution Relative to Benchmark



Source: Driehaus. Note: The sector attribution relative to benchmark for each MSCI/GICS Sector is equal to the sum of the individual Attribution Effects for that MSCI/GICS Sector. The cash weighting at 9/30/2026 was 1.9%.

[1]The performance data represents the strategy's composite of micro cap growth accounts managed by Driehaus Capital Management LLC (DCM). These returns are estimated for the period as the underlying accounts' data is yet to be reconciled to the custodian bank. Net of fee returns reflect the payment of advisory fees and in some instances, other fees and expenses such as administrative and custodian fees while the gross of fee returns do not. Both are net of brokerage commissions charged to the accounts and reflect the reinvestment of income and other earnings. The performance data shown above represents past performance and does not guarantee future results. Current performance may be lower or higher than the performance data quoted.

Sector Commentary – Contributors (in order of relative impact):

Health Care was the largest contributor on an absolute and relative basis. Our health care holdings gained 3.2%, compared with a 2.2% decline for the benchmark. The strategy's biotechnology and pharmaceutical holdings outperformed on a relative basis. Several holdings reported positive clinical data and others reported strength in their new and ongoing commercial drug launches. One long-held holding focused on drug development in the field of endocrinology appreciated over 100% as it was acquired by a larger pharma company. Diagnostic holdings were also a notable area of strength as well as a company tied to AI enabled drug discovery. We believe we continue to hold multiple biotech, pharma and diagnostic companies with innovative products that are well positioned for further clinical milestones, approvals, and successful commercial launches. The strategy slightly increased its healthcare sector exposure during the quarter but remains underweight the sector.

Information Technology was the second largest relative contributor but the second largest detractor on an absolute basis. After gaining 86.9% in the June quarter, our technology holdings declined 19.9%, compared with a 23.8% decline for the benchmark. Semiconductors, optical equipment, and tech hardware companies were weak due to the sell-off in the AI theme in July and August, which followed sharp gains during the first half of the year. We reduced exposure to semiconductors and tech hardware overall from an overweight to an underweight through profit taking and recognition of the group's reduced relative strength.

We did increase our exposure to software as several opportunities are emerging in various companies that are well positioned for growth in agentic AI and cyber security. Our software positioning went from underweight to a relative overweight. Overall, the portfolio's exposure to the sector was slightly reduced but the strategy has a relative overweight position.

Materials outperformed modestly in relative terms but detracted slightly in absolute terms. Our materials holdings declined 14.4%, compared with an 18.0% decline for the benchmark. The portfolio saw strength in a specialty chemical holding which was offset by weakness in specialty and precious holdings. Our allocation to materials decreased during the quarter, widening our underweight relative to the benchmark.

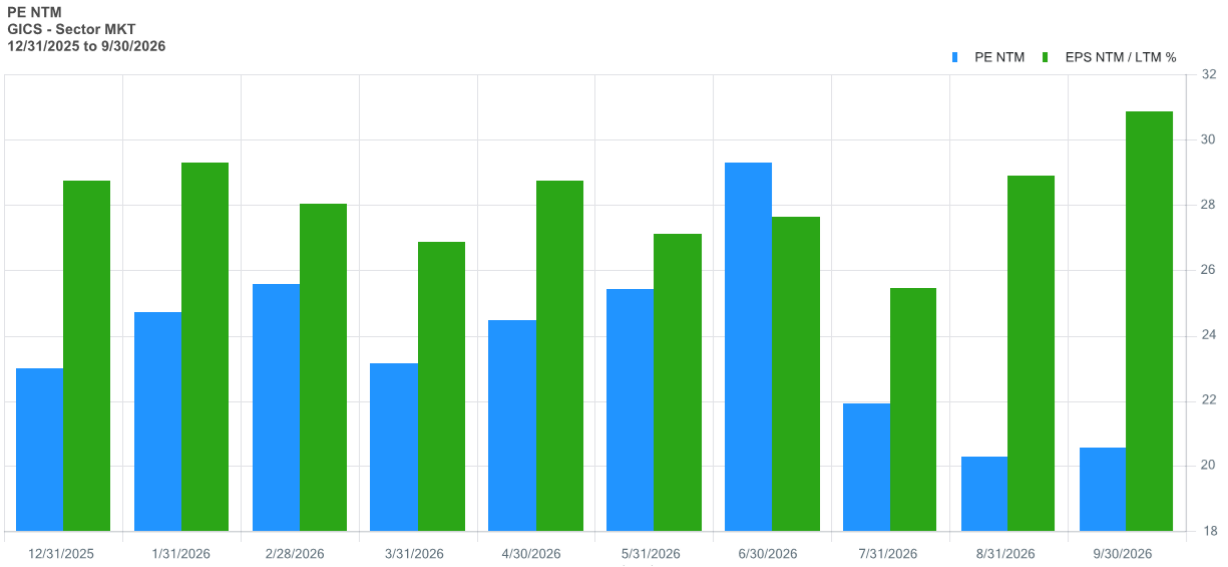
Sectors Commentary - Detractors (in order of relative impact):

Industrials accounted for the vast majority of the strategy's relative underperformance during the quarter and was the largest detractor in absolute terms. Our industrial holdings declined 27.5%, compared with a 14.4% decline for the benchmark. Performance reflected broad based weakness across the sector. This weakness was a notable departure from the strength experienced over the past three years. Industrials went from being a sustained outperformer for the strategy and the market to the market's worst sector during the quarter.

The sharp correction in the AI theme was a key part of the sector's weakness. The earnings reported by our AI related industrial holdings continued to be very strong, however, our holdings saw sharp multiple contractions in July and August both prior to as well as after each company's earnings report. We did reduce our exposure to the AI theme and to the industrial sector overall given the poor price action and deteriorating relative strength. Our AI related holdings included engineering and construction companies, electrical power and grid related electrical equipment suppliers. The fundamental outlook for these companies remains positive despite the weak price action.

Other sub-industries also saw broad weakness across the industrial sector despite strong earnings and favorable outlooks. These included defense contractors, commercial aerospace suppliers, satellite, machinery, and transportation companies. Commercial aerospace likely saw weakness due to the potential impact of higher crude oil prices on future potential travel demand. Our industrial sector allocation was reduced substantially during the quarter, from a large overweight which had been maintained for roughly the past three years to a slight underweight. To illustrate the multiple contraction during the quarter, consider Exhibit 13, on page 11. The green bars show the strong upward estimate revisions and increased growth rates versus the multiple compression and lower valuations by quarter end shown in blue bars.

Exhibit 13: Strong Earnings Growth Amid Valuation Compression



Source: Factset/DCM

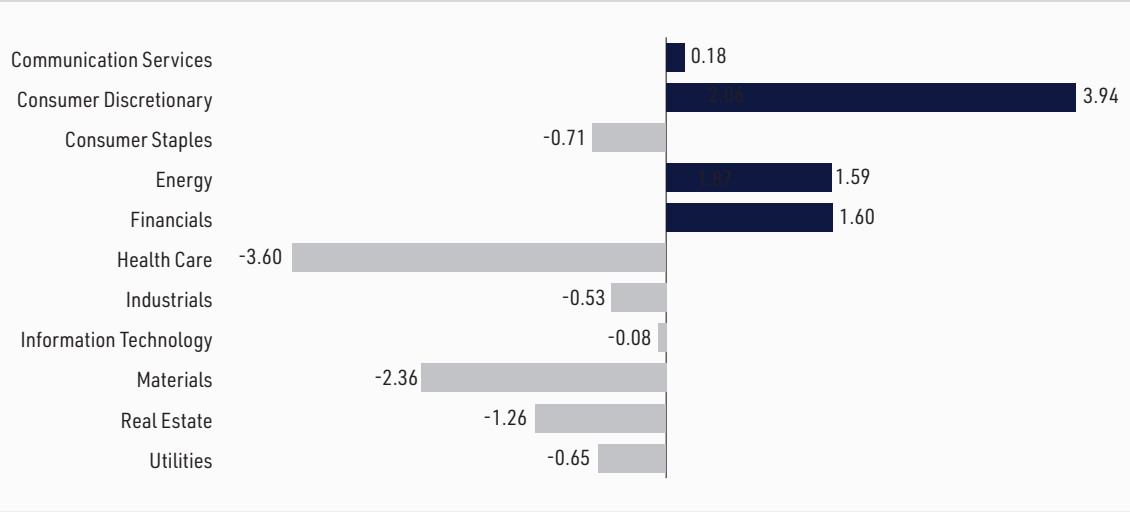
Energy detracted the second most on a relative basis. Our energy holdings declined 31.4%, compared with an 18.8% decline for the benchmark. Our allocation to energy decreased during the quarter, although we maintained an overweight versus the benchmark. We reduced our exposure to the oil service industry as the group pulled back during the quarter.

Consumer Discretionary detracted the third most on a relative and absolute basis. Our consumer discretionary holdings declined 22.1%, compared with a 22.7% decline for the benchmark. Our allocation to the sector increased during the quarter, widening our overweight versus the benchmark. We saw weakness across the career-education providers, travel/leisure, gaming and specialty retail.

Strategy Overview and Positioning

At quarter-end, health care remained the portfolio's largest sector allocation, followed by information technology and industrials. Consumer discretionary was the largest overweight, followed by overweights in financials and energy. Health care and materials were the largest underweights. The most significant changes in relative positioning were increases in health care, communication services, financials, and consumer discretionary and reductions in industrials, materials, and staples.

Exhibit 14: Variation in Ending Weight



Source: Driehaus. Note: Variation in ending weight is the difference between the benchmark ending weight and the portfolio ending weight. The cash weighting at 9/30/2026 was 1.9%.

While near-term volatility may persist, we remain constructive given resilient economic growth, strong corporate earnings, and more attractive small-cap valuations. We continue to focus on companies with improving fundamentals, durable growth prospects, robust earnings and the potential to outperform as market breadth stabilizes.

This update is not intended to provide investment advice. Nothing herein should be construed as a solicitation, recommendation or an offer to buy, sell or hold any securities, other investments or to adopt any investment strategy or strategies. You should assess your own investment needs based on your individual financial circumstances and investment objectives.

This material is not intended to be relied upon as a forecast or research. The opinions expressed are those of Driehaus Capital Management LLC ("Driehaus") as of October 14, 2026 and are subject to change at any time due to changes in market or economic conditions. The material has not been updated since October 14, 2026 and may not reflect recent market activity.

The information and opinions contained in this material are derived from proprietary and non-proprietary sources deemed by Driehaus to be reliable and are not necessarily all inclusive. Driehaus does not guarantee the accuracy or completeness of this information. There is no guarantee that any forecasts made will come to pass. Reliance upon information in this material is at the sole discretion of the reader.

Driehaus Micro Cap Growth Strategy

% Month-End Performance (as of 9/30/26)

				Annualized				
	MTH	QTD	YTD	1 YR	3 YR	5 YR	10 YR	Inception[2]
Driehaus Micro Cap Growth Composite (Gross)	**-4.01**	**-14.08**	**15.97**	**26.75**	**30.07**	**10.67**	**21.05**	**21.54**
Driehaus Micro Cap Growth Composite (Net)	**-4.08**	**-14.25**	**15.27**	**25.73**	**29.02**	**9.78**	**19.98**	**20.60**
Russell Microcap® Growth Index (Benchmark)	-4.26	-12.15	8.50	10.82	23.06	2.60	8.14	6.71*

Top 5 Holdings[5] (as of 8/31/26)

Company	Sector	% of Strategy
Definium Therapeutics, Inc.	Health Care	2.3
Praxis Precision Medicines, Inc.	Health Care	2.3
Spyre Therapeutics, Inc	Health Care	2.0
Bandwidth Inc. Class A	Communication Services	1.9
Amylyx Pharmaceuticals, Inc.	Health Care	1.7

Sector Weights (%)

	Strategy	Benchmark	*Active Weights*
Comm Services	4.6	4.4	*0.2*
Consumer Discretionary	8.9	5.0	*3.9*
Consumer Staples	1.3	2.1	*-0.7*
Energy	4.0	2.4	*1.6*
Financials	8.7	7.1	*1.6*
Health Care	36.0	39.6	*-3.6*
Industrials	15.7	16.3	*-0.5*
Information Technology	17.4	17.5	*-0.1*
Materials	1.4	3.8	*-2.4*
Real Estate	0.0	1.3	*-1.3*
Utilities	0.0	0.6	*-0.6*
Cash	1.9	0.0	*1.9*

Key Features

- Benchmark aware, not benchmark constrained
- Opportunistic investment approach
- High active share

Facts

Inception Date	1/1/96
Composite Assets Under Management[1]	$3,197M
Firm Assets Under Management	$29.1B
Investment Style	Growth Equity
Investment Vehicles:	Separately Managed Account Mutual Fund

Portfolio Statistics[3]

5-year period	Strategy	Benchmark
Information Ratio	0.76	n/a
Beta	0.96	1.00
Standard Deviation	25.46	24.58
Tracking Error	9.39	n/a
R-squared	0.87	1.00

Portfolio Characteristics

	Strategy	Benchmark
Number of Holdings	124	777
Weighted Avg. Market Cap (M)	$2,885	$1,092
Median Market Cap (M)	$2,134	$224
Active Share (3-year avg.)[4]	79.09	n/a

Data as of 9/30/26.
Sources: Driehaus Capital Management LLC, Factset Research Systems, Inc.

The performance data represents the strategy's composite of micro cap growth accounts managed by Driehaus Capital Management LLC (DCM). These returns are estimated for the period as the underlying accounts' data is yet to be reconciled to the custodian bank. Net of fee returns reflect the payment of advisory fees and in some instances, other fees and expenses such as administrative and custodian fees while the gross of fee returns do not. Both are net of brokerage commissions charged to the accounts and reflect the reinvestment of income and other earnings. The performance data shown above represents past performance and does not guarantee future results. Current performance may be lower or higher than the performance data quoted.

[1]Composite assets include those accounts that meet the composite objectives and eligibility requirements. Please see the notes at the end of this document for additional information. [2]1/1/1996. [3]Portfolio statistics represent the strategy's composite. [4]Data is calculated monthly. [5]Holdings subject to change.

*See notes page for more information.

Portfolio Management

Jeff James
Portfolio Manager
Tenure with firm: 1997

Michael Buck
Portfolio Manager
Tenure with firm: 2002

Prakash Vijayan, CFA
Assistant Portfolio Manager
Tenure with firm: 2010

Notes // Driehaus Micro Cap Growth Strategy

FIRM DEFINITION
Driehaus Capital Management LLC (DCM) is a registered investment adviser with the United States Securities and Exchange Commission (SEC). DCM provides investment advisory services using growth equity and credit strategies to individuals, organizations, and institutions. The firm consists of all accounts managed by DCM (the Company).

DCM claims compliance with the Global Investment Performance Standards (GIPS®).

COMPOSITE DESCRIPTION
The Micro Cap Growth Composite was created in January 1996. An account is considered to be a micro cap growth account if it primarily invests in U.S. equity securities of growth companies with market capitalization ranges of generally followed micro cap indices at the time of purchase. However, there is no requirement to be exclusively invested in micro cap stocks, and the accounts have invested, to a lesser extent, in stocks with a larger capitalization from time to time.

PERFORMANCE RESULTS
Net of fee returns reflect the payment of advisory fees and in some instances, other fees and expenses such as administrative and custodian fees while the gross of fee returns do not. Both are net of brokerage commissions charged to the accounts and reflect the reinvestment of income and other earnings.

Valuations and returns are computed and stated in U.S. dollars. Returns are presented on a pretax basis.

Past performance is not indicative of future results. All investments have risks and you could lose money.

Additional information regarding policies for valuing investments, calculating performance and preparing GIPS Reports are available upon request. A list of composite descriptions, a list of limited distribution pooled fund descriptions, and a list of broad distribution pooled funds are available upon request. Please contact our sales, marketing and relationship management department at 312-932-8621.

RISKS
All investments have risks. At times, a significant portion of an account's return may be attributable to investments in initial public offerings (IPOs) or concentrations in certain strong performing sectors, such as technology. Returns from IPOs or sector concentrations may not be repeated or consistently achieved in the future. In addition, participating in IPOs and other investments during favorable market conditions may enhance the performance of a strategy with a smaller asset base, and the strategy may not experience similar performance results as its assets grow. The securities of micro-cap companies may be more volatile in price, have wider spreads between their bid and ask prices, and have significantly lower trading volumes than the securities of larger capitalization companies. As a result, the purchase and sale of more than a limited number of shares of the securities of a smaller company may affect its market price. Growth stocks may involve special risks and their prices may be more volatile than the overall market. It is anticipated that the strategy will experience high rates of portfolio turnover.

INDICES
The Russell Microcap Growth® Index measures the performance of the microcap growth segment of the U.S equity universe. It includes those Russell Microcap® companies that are considered more growth oriented relative to the overall market as defined by FTSE Russell's leading style methodology.

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*The Russell Microcap® Growth Index commenced on August 1, 2000 and therefore does not have returns prior to this date. The cumulative and annualized since inception returns were calculated by linking the Russell 2000 Growth Index returns for January 1, 1996 to July 31, 2000 to the returns of the Russell Microcap® Growth Index returns from August 1, 2000.

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TERMS
Active share represents the share of portfolio holdings that differ from the benchmark index holdings. **Beta** is a measure of a portfolio's volatility. A beta of 1.00 implies perfect historical correlation of movement with the market. A higher beta manager will rise and fall more rapidly than the market, whereas a lower beta manager will rise and fall slower. **Information Ratio (IR)** measures a portfolio manager's ability to generate excess returns relative to a benchmark, but also attempts to identify the consistency of the investor. This ratio will identify if a manager has beaten the benchmark by a lot in a few months or a little every month. The higher the IR the more consistent a manager is and consistency is an ideal trait. **R-Squared** is a statistical measure that represents the percentage of a fund or security's movements that can be explained by movements in a benchmark index. For fixed-income securities, the benchmark is the T-bill. For equities, the benchmark is the S&P 500. **Standard Deviation** is a measure of the average deviations of a return series from its mean; often used as a measure of portfolio volatility. A large standard deviation implies that there have been large swings or volatility in the manager's return series. **Tracking Error** is a divergence between the price behavior of a position or a portfolio and the price behavior of a benchmark. This is often in the context of a hedge or mutual fund that did not work as effectively as intended, creating an unexpected profit or loss instead.

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